

intermediaries, individuals, and policy makers tend to assume that the future will be like the past so they bet heavily on the trends continuing. They mistakenly believe that investments that have gone up a lot are good rather than expensive so they borrow money to buy them, which drives up their prices more and reinforces this bubble process. . . . Bubbles burst when the income growth and investment returns inevitably fall short of the levels required to service these debts. . . . The financial losses that result from the bubble bursting contribute to the country's economic decline. Whether due to wars or bubbles or both, what typifies this stage is an accumulation of debt that can't be paid back in non-depreciated money, which leads to the next stage.

And Stage 5:

After bubbles burst and when deleveragings occur, private debt growth, private sector spending, asset values, and net worths decline in a self-reinforcing negative cycle. To compensate, government debt growth, government deficits, and central bank "printing" of money typically increase. In this way, their central banks and central governments cut real interest rates and increase nominal GDP growth so that it is comfortably above nominal interest rates in order to ease debt burdens. As a result of these low real interest rates, weak currencies, and poor economic conditions, their debt and equity assets are poor performing and increasingly these countries have to compete with less expensive countries that are in the earlier stages of development. Their currencies depreciate and they like it. As an extension of these economic and financial trends, countries in this stage see their power in the world decline.

The foregoing Stage 4 and Stage 5 profiles sound like uncomfortably close descriptions of the United States (Stage 5—current situation; Stage 4 preceding decades), don't they?

¹Market direction is only one type of beta risk. Other examples of beta risks include credit risk, liquidity risk, and short volatility risk. Beta returns are returns earned by assuming risk, and these returns can be duplicated by various combinations of passive long investments. Over the long term, beta returns will be positive because investors have to be compensated for assuming these risks.